

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$18.62 ▲ 1.14%

12M Price Target
\$22.00

52-Week Range
\$10.80 – \$58.15

Market Cap
\$6.19B

RGTI: Quantum Hype Cooling as Insiders Cash Out

WHAT HAPPENED

- Stock got smacked ~13% over four days — from \$21.38 to \$18.62 — and the trigger was that \$857M warning across the quantum names (IonQ, D-Wave, RGTI). That's basically Wall Street saying "guys, you've raised nearly a billion in equity recently and you still aren't making real money." When a company sells new shares to raise cash, your existing shares are worth a smaller slice of the pie — that's dilution, and it's the #1 fear with pre-revenue tech.
- Today's bounce (+1.14%) on much lighter volume (10M vs 35M+ earlier in week) — that's not buyers stepping in, that's just sellers running out. Weak bounce.

WHY IT MATTERS

Here's what to actually think about: the CEO sold \$1.5M of stock on June 1 at \$24, and a director dumped another \$4.3M across June. When insiders sell into strength, it usually means they think the stock is ahead of the business — and quantum stocks have been trading on narrative, not numbers. Meanwhile, the unusual put buying at \$23-25 strikes suggests big money is hedging or betting on more downside near-term. The bigger picture: RGTI trades at a \$6.2B market cap on maybe \$18M of revenue this year — that's roughly \$340 for every \$1 of sales, which only makes sense if you believe federal quantum spending floods in fast.

POLICY & POLITICAL WATCH

The National Quantum Initiative Reauthorization Act is the single biggest policy lever here — it would extend and expand federal quantum R&D funding (originally a \$1.2B program), and Rigetti is a known DARPA and Air Force Research Lab partner. If it gets reauthorized with expanded funding this session, RGTI gets a direct revenue tailwind; if it stalls in budget fights, the entire quantum sector loses its story. Also watch export controls — the Commerce Department has been tightening rules on quantum tech exports to China, which is a double-edged sword: protects RGTI's IP but limits the addressable market.

IS IT EXPENSIVE?

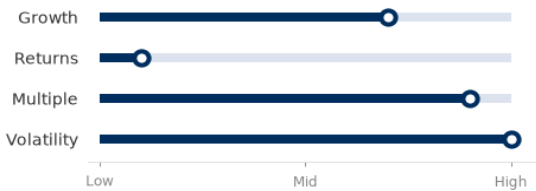
At \$6.2B market cap on ~\$18M expected revenue, you're paying about \$340 for every \$1 the company will earn in sales this year — that's not a valuation, that's a lottery ticket on quantum becoming real. Compare to IonQ at similar nosebleed levels and D-Wave a bit cheaper — the whole sector is priced for perfection. The only way this math works is if quantum computing has its "ChatGPT moment" in the next 2-3 years and government contracts scale 10x.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$18.62
12M Price Target	\$22.00
Upside / (Downside)	+18.2%
Market Cap	\$6.19B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$24.00	\$19.00	\$14.00
6 Months	\$32.00	\$22.00	\$12.00
1 Year	\$45.00	\$25.00	\$10.00
2 Years	\$70.00	\$35.00	\$8.00
5 Years	\$150.00	\$50.00	\$5.00
10 Years	\$300.00	\$80.00	\$3.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.82% today, +7.58% on the week) — defensive money flowing in, which usually means investors are getting nervous about speculative tech. Staples and Utilities also bid up — that's a "risk off" tell.

COOLING OFF: Speculative tech and quantum specifically — the whole "story stock" complex is taking a breather as investors digest how much equity these companies have raised.

ROTATION WATCH: Money is rotating from high-beta narrative stocks (quantum, small AI) into defensive sectors and profitable mega-cap tech. That's a headwind for RGTI until risk appetite returns.

RELATED PLAY: If you believe in quantum but want less binary risk, the picks-and-shovels play is the semiconductor equipment names (cryogenic cooling, specialty chips) — or just own IBM, which has a real quantum program inside a profitable business.

WHO'S WINNING IN THIS SPACE?

- IBM (IBM): Real quantum roadmap inside a cash-flowing business — institutional money prefers this exposure
- IONQ (IonQ): Was the quantum leader on market cap but got hit by the same \$857M warning — moving in lockstep with RGTI

RGTI CONTEXT: RGTI is moving with the pack, not leading it — and at 17% of its 52-week range (\$10.80-\$58.15), it's much closer to the lows than highs. That tells you the air is coming out of the quantum trade broadly. When a stock can't outperform its own sector during sector weakness, it's not a leader — it's a follower, and followers get sold first when sentiment really turns.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — interesting long-term optionality but insider selling and valuation make me unwilling to pound the table here.

POSITION SIZE: 1-2% max — this is venture-capital-style risk in a public wrapper. Size it like you could lose half and not lose sleep.

ENTRY POINTS: I'd want \$13-15 to start a position — that's where the chart shows real support and where the risk/reward gets interesting. Chasing \$18+ when insiders are selling is bad discipline.

TIME HORIZON: 18-36 months — you're waiting for the Quantum Initiative reauthorization, a commercial quantum advantage milestone, or a major government contract announcement.

WHEN TO BAIL: If they announce a stock sale below \$15, if the CEO leaves, or if a competitor demonstrates clear quantum advantage first — any of those three and the thesis is broken.

HEDGING: Simplest hedge is just keep the position small. If you want fancier, pair a long RGTI with a short IonQ — both rise and fall together, so you're isolating which quantum company executes better.